

SOFT TARGET

Indian IT sector feels the heat as crisis grips its largest revenue provider, the US financial sector

■ By Nivedita Mukherjee

For Srinivas Vadlamani, chief financial officer, Satyam Computer Services, this could not have come at a worse time.

The financial contagion that destroyed American banking has crossed the Atlantic to hit European banks hard. Financial services, being the largest spender on technology, are crucial to the bottomline of Satyam, and Europe, which rakes in more than 20 per cent for the overall revenues of the IT services giant, is a viable geography to bank on for expanding the business operations. It is not just Satyam. So are a clutch of other software and software services companies in India led by Wipro, Tata Consultancy Services (TCS) and Infosys. For long now, they had relied on the Wall Street to build their strengths, bring back the moolah, create an enviable talent base and drive up their share in the GDP to 5 per cent. The spectre of slowdown is staring at them.

The arithmetic is simple and it is quite a double-whammy. Nearly two-thirds of the global IT business originates from the US. Worse, over 40 per cent of global IT revenues flow from the financial sector. The IT sector thus finds itself saddled with a losing propo-

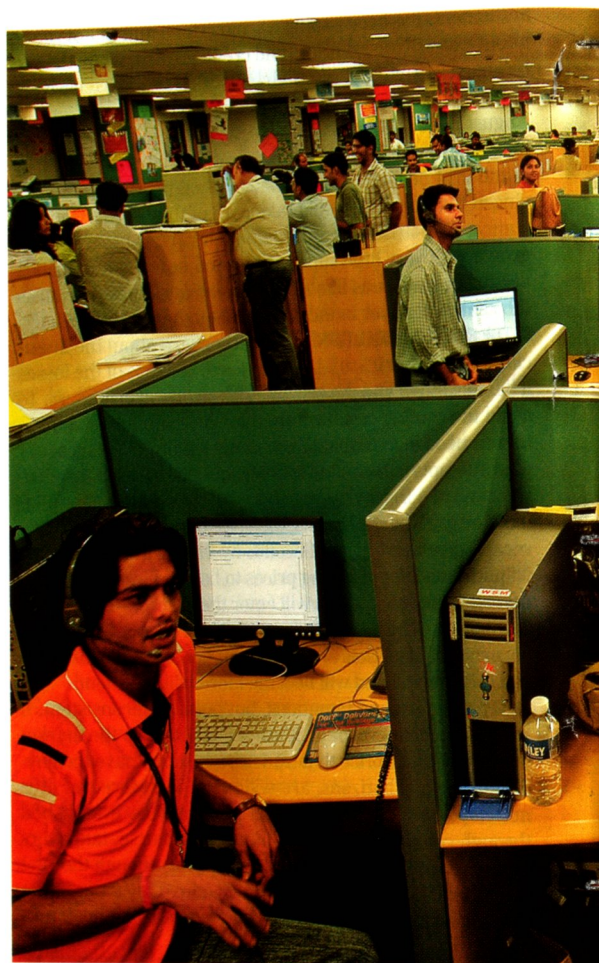
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sition as the crisis takes a grip on the US financial system. It is not only getting hit on the business segment by losing orders from the financial hubs in North America, but is also suffering a geographical setback with a shrinking volume of revenues from the US. While most companies are looking at loss of revenues, some have been shocked to see big-tag clients like Lehman Brothers and Merrill Lynch falling off the map.

According to Som Mittal, president of the National Association of Software and Service Companies (NASSCOM), roughly 40 per cent of the IT business of the techies is locked up in the Banking

and Financial Services and Insurance (BFSI) sector. Moreover, the bulk of the exports earnings of the IT-res sector—estimated to be over \$40 billion for 2007-08—is from the US (especially North America) which accounts for a whopping 60 per cent of the business for the Indian IT sector. Another 20 per cent comes from Europe and the rest from Asia Pacific, Mittal adds.

Slower business growth, erosion of profits, dip in exports and cut in jobs is the new reality. Indian IT companies spend 4-6 per cent of their revenues on sales and marketing alone. Lavish spends are out, be it on travel or hospitality, as part of their new bailout pack-



“Global financial meltdown poses a long-term challenge.”

SOM MITTAL, PRESIDENT, NASSCOM

